Congress should immediately pass an amendment that will rectify the condition and will read so plainly that there will be no necessity for continued litigation and misunderstanding between state and federal authorities.

The report is signed by CHAS. WEBSTER, (Iowa), Chairman; J. W. RAISH, (S. D.); T. A. BROWNE, (Neb.); ALEXANDER FORWARD, (Va.); ERNEST D. LEWIS, (W. Va.); FRED W. PUTNAM, (Minn.); OLIVER C. SEMPLE, (N. Y. P. S. C.).

Litigation

The report of the Committee on Litigation included a detailed analysis of the several intrastate rate cases. It gave an outline of the efforts the committee and the association's general solicitor, John E. Burton, had made and were making in opposition to the Interstate Commerce Commission's decisions bringing intrastate rates up to the level of the interstate rates. "The year has been prolific," the report said, "of litigation begun to set aside intrastate rates. . . . To the extent that they have acted in such cases, the lower federal courts have without exception sustained the federal commission's orders. In most states the carriers have procured from such courts temporary injunctions restraining the state commissions and other state officials from taking any action to interfere with the putting into effect of advanced rates ordered by the federal commission. In every state the rates so ordered have taken effect. In no state, however, so far as we have knowledge, has a final order of a court sustaining the federal commission been entered."

The report follows in part:

The Committee on Litigation was created by a vote passed at a special meeting of commissioners held in Chicago on September 11, 1920, to consider what collective action the state commissions would take in the proceedings which had just before been instituted under the Transportation Act before the Interstate Commerce Commission to procure orders advancing intrastate rates in New York, Illinois, Wisconsin, and other states. The committee was authorized, by the vote creating it, to follow all litigation in which carriers might attempt to secure an interpretation of the Transportation Act diminishing the powers of the states to control intrastate rates and regulation of carriers, and to represent state commissions, granting authority therefor, in such proceedings.

The convention continued the existence of the committee by a vote as follows:

"That the president of this association be directed to appoint a committee of seven, to be known as the Committee on Litigation, said committee to act in all matters for the association wherein are involved the powers and rights of the several states to control the rates and regulations applicable to intrastate commerce; this committee to work with our general solicitor in representing the states in all such cases arising in the courts or before the Interstate Commerce Commission."

Effect of Federal Commission's Orders

The effect of the decisions of the Interstate Commerce Commission in the several intrastate rate cases, may be summarily stated as follows:

"The prohibition against 'undue, unreasonable, or unjust discrimination against interstate or foreign commerce' is not limited to particular persons or localities, but is applicable to such discrimination against interstate or foreign commerce in their broad definitions. (Illinois Passenger Fare Case, 59 I. C. C., 363.)

"The term 'commerce' covers the entire field of transportation—the traffic itself and all the instrumentalities and means of carrying it on. The language used is certainly broad enough to cover every discrimination growing out of the relation between intrastate and interstate commerce which injuriously affects the latter." (Illinois Passenger Fare Case, 59 I. C. C. 361.)

"If, without good reason, the fares within a state are lower than those authorized and established for interstate application, intrastate passenger traffic will not contribute its just share to the passenger revenues of the carriers, and the carriers may not earn the statutory return without further increases in the transportation charges on other traffic, including interstate commerce, thus unjustly discriminating against such commerce." (In the Matter of Intrastate Rates within the State of Illinois, 59 I. C. C. 365.)

Whenever a carrier believes that an intrastate rate is too low, from a revenue standpoint, it may apply in the first instance to the Federal commission for an order advancing the same, disregarding any state agency having jurisdiction over the rate under state laws. (Arkansas Rates and Fares, 59 I. C. C., 473; Nevada Rates, Fares and Charges, 60 I. C. C. 637; Arizona Rates, Fares and Charges, 61 I. C. C., 573.)

It is no defense in such a proceeding that the intrastate rates yield a fair return on the value of property devoted to intrastate transportation. The law does not contemplate any segregation of such property and consideration of earnings therefrom. (In the Matter of Intrastate Rates within the State of Illinois, 59 I. C. C., 364.)

It is no defense that the interstate and intrastate business taken together, in the state involved, yield the aggregate return contemplated by the Transportation Act upon the segregate value of railroad property within such State. Section 15a, in its provision for group rates and aggregate returns, contemplates the disregard of state lines. (Nebraska Rates, Fares and Charges, 60 I. C. C., 312; and in the Matter of Intrastate Rates Within the State of Texas, 60 I. C. C., 426.)

In order that the commission may act quickly, when it deems carriers' need of increased revenue urgent, it may increase specified classes of rates by straight percentage increases, without examination of particular rates, leaving persons aggrieved to secure modification of the commission's order after it has become effective. (In the Matter of Rates, Fares and Charges of the New York Central Railroad Company and other Railroad Companies in the State of New York, 59 I. C. C., 294.)

In order that the Federal commission may exercise jurisdiction to advance intrastate rates on any commodity, as discriminatory against interstate commerce, it is not necessary that there be any interstate commerce in such commodity. In such case the Federal jurisdiction rests upon the loss in revenue suffered by the interstate carrier (Louisiana decision on sugar cane rates, 60 I. C. C., 476.)

The question whether a rate or practice sought to be changed is "unjustly discriminatory against interstate commerce does not depend upon the amount of revenue involved," and the commission may accordingly advance intrastate rates prescribed by state authority, even when it is found that the advance will have "no very substantial effect upon the revenues of any one carrier," as in the case of the increase of minimum passenger fares in South Carolina. (60 I. C. C., 298.)

Furthermore, the commission has jurisdiction to impose charges with respect to intrastate traffic, in contravention of state law, which charges are not designed for direct revenue purposes, such as the conductor's cash penalty charge imposed in South Carolina. (60 I. C. C., 298.)

Paragraph (4) of section 13 of the Interstate Commerce Act, as amended by the Transportation Act, provides that any rate or practice ordered by the commission "shall be observed while in effect by the carriers parties to such proceedings affected thereby, the law of any state or the order of any state authority to the contrary notwithstanding." All orders of the commission thus far made, prescribing state rates, have provided that the same shall "remain in force until the further order of the commission."

Proceedings Have Related to Large Bodies of Rates

From the first the commission has proceeded under the Transportation Act, not upon investigation of particular rates, but with respect to large bodies of rates. In several instances the commission has advanced all of the freight rates within a state, and in other instances all of the passenger fares (with inconspicuous exceptions, such as commutation rates, too unimportant to mention) and that in some instances all rates within a state, both passenger and freight, have been advanced. This it has done, without examination of the rates increased, by the application of the same percentages of increase which were applied to interstate rates under the authority of the commission's decision in *Ex Parte* 74. The result has been that many situations were created where intrastate rates were so glaringly in excess of interstate rates that the carriers themselves desired to make adjustments. This they could not do without first securing a modification of the applicable order of the federal commission.

To remedy these situations, the federal commission designed a provision which, by amendment or by original inclusion, has been a part of each order of the commission advancing intrastate rates, the same being as follows:

"It is further ordered that nothing in this order shall be construed as requiring any common carrier to establish, put in force or maintain any rate, fare or charge for the transportation of passengers or property in intrastate commerce which is greater than its corresponding rate, fare or charge applicable to the transportation of passengers or property in interstate commerce from, to or at the same points in effect on (the date of the order) or greater than its corresponding rate, fare or charge contemporaneously in effect and applicable to the transportation of passengers or property in interstate commerce."

Whatever may be the meaning of the peculiar language "from, to or at the same points in effect * * * or greater than its corresponding rate, fare or charge contemporaneously in effect and applicable to the transportation of passengers or property in interstate commerce," it is treated as permitting carriers to reduce the percentage of their intrastate advances, when they desire to do so, to avoid or remove maladjustments which would otherwise result from an order.

Reference has been made to this device as a necessary preliminary to a statement of the extreme length to which the federal commission has gone in its orders aimed to exempt carriers from the obligation to conform to state rates prescribed by state laws.

to reconcile differences of view between state authorities and federal authorities.

"As I look at it," he continued, "the original provision of Section 3 of the Interstate Commerce Act is broad enough to correct intrastate rates which defeat the policy of Congress by creating a prejudice to interstate traffic, which is certainly a particular description of traffic within the meaning of Section 3. Therefore, I do not think any new principle needed to be involved in order to accomplish the result which has been produced under the Transportation Act. The express language of that act, referring to unjust discrimination against interstate traffic, is more emphatic and therefore more desirable. Certainly it is at least as strong as the expression 'burden upon interstate traffic,' and probably stronger.

"There is a curiously inverted view involved in assuming that an intrastate rate ought to be corrected by federal authority if it appears that it hurts the business of a particular interstate shipper, but that all intrastate rates ought not to be corrected if it appears that as a whole they defeat a salutary policy of Congress. Such a contention amounts to saying that Congress intended by the Interstate Commerce Act to prevent a series of little wrongs but deliberately restricted what it did so as to avoid the possibility of correcting a vastly greater wrong if it should be committed.

"As I view it, the present situation really arises not out of any new principle which has been incorporated in the act, but out of an extraordinarily difficult emergency which has resulted from the war. When it became necessary after the war to increase rates, it at once became clear that the maintenance of intrastate rates on the old level, in conjunction with such heavy increases in interstate rates, would bring about the most widespread undue prejudice against interstate traffic and undue preference in favor of intrastate traffic. It was this unprecedented state of facts that has produced the conditions which have caused the existing complaints.

"I have examined the various decisions of the commission in these intrastate cases and I believe these decisions constitute a complete defense to the attacks which have been made upon them, and I urge the committee to examine the decisions themselves. They do not show any purpose to usurp the functions of the state commissions, but they do show the purpose to avoid what would have been an obvious undue prejudice against interstate commerce if the intrastate rates had not been corrected.

"I understand the view has been urged upon the committee that the action of the Interstate Commerce Commission has resulted in 'freezing' the intrastate rates so as to render the state commissions incapable of dealing with them. I take it that exactly the same result existed in cases like the Shreveport case prior to the war. In other words, where the state adjustment violated the Interstate Commerce Act and the Interstate Commerce Commission had to prescribe a remedy, this necessarily hampered the state commissions in thereafter dealing with these adjustments. This is a natural consequence arising from the necessity of correcting the state adjustment, but this is no reason for not making the correction. If it were, it would mean that a remedy could not be afforded, no matter how obvious the evil, and indeed the more extensive the wrong the more impossible it would be to give a remedy.

"But as a practical matter I do not believe these embarrassments will arise in the future. The Interstate Commerce Commission has been called upon in a great crisis to exercise a very grave responsibility in order to carry out a highly important Congressional policy. I think the Interstate Commerce Commission in the decisions which it has rendered has shown the most earnest desire to preserve unimpaired, as far as possible, the activities of the state commissions, and I believe that if once this question can be set at rest by Congress adhering to the established policy of the Interstate Commerce Act, the Interstate Commerce Commission and the states commissions should find no difficulty in getting together upon plans which will give every possible element of freedom to state action, but always consistent with the fundamental proposition that in dealing with an indivisible subject-matter there must be one paramount authority in the last analysis and that this paramount authority must be the federal authority.

Co-operation Between I. C. C. and State Commissions

"I make these remarks with the liveliest appreciation of the necessity for local assistance in dealing with these great problems. No one appreciates better than I do, or has said more positively than I have said, that these local questions ought to be handled locally just as far as possible and that it is highly undesirable to have them centralized at Washington, except so far as is unavoidable in making effective the paramount federal authority. It seems to me the logical events, as well as what I believe to be the entirely sympathetic attitude of the Interstate Commerce Commission with the necessity for local assistance, will bring about a most beneficial co-operation between that commission and the state commissions, provided only the question of principle shall be settled emphatically in favor of the ultimate paramount authority of the federal government.

"I might add that I not only think local attention to local intrastate rates is desirable, but also to local interstate rates. I trust that there may be an evolution of the regulation under the Interstate Commerce Act so as to bring about this enlarged local attention to all local rates, both interstate and intrastate. Perhaps this can be accomplished by associating members of state commissions in adjoining states with local representatives of the Interstate Commerce Commission so as to pass, in the first instance, on purely local rates in that portion of the country, whether interstate or intrastate. Certainly the local intrastate rates are no more in need of local attention than the local interstate rates. But whatever is done to secure adequate local attention to rates, it seems to me indispensable that this should be done without impairing the exclusive paramount authority of the federal tribunal. It seems to me any revision in this direction must be in the nature of an evolution from the existing status and cannot successfully be in the direction of destroying the existing status."

Replying to questions by Senator Pittman, Mr. Hines said that where the Interstate Commerce Commission has made no order the state is entirely free to make adjustments in its intrastate rates without in any way undermining the general rate level or prejudicing interstate commerce, but where it has been necessary for the Interstate Commerce Commission to make an order the state commission's hands are naturally somewhat tied. But that is only a temporary matter.

"But," said Senator Pittman, "the state commission cannot lower the general rate level fixed by the Interstate Commerce Commission."

"Not if this discriminates against interstate commerce," replied Mr. Hines, "and the Interstate Commerce Commission must be the final authority. There may be adequate reasons for a difference, but if there is a difference of opinion there must be final authority to decide."

Mr. Pittman said that the proposition then comes down to the point that the state commission has no right to lower the general rate level in its state below the level fixed by the Interstate Commerce Commission.

Mr. Hines said this was true, but that it has nevertheless the power to make a great many readjustments and if there are rates above the general level it has the right to reduce them.

Mr. Pittman said the Interstate Commerce Commission would do that, but Mr. Hines said it would hardly undertake to do so unless the rates were such as to constitute an undue prejudice against interstate commerce. There will be

Texas Attack on Transportation Act Argued

Constitutionality an Issue—Asks That I. C. C. and Labor Board Be Enjoined

WASHINGTON, D. C.

ARGUMENTS were heard by the United States Supreme Court this week on the original bill filed by the State of Texas attacking the constitutionality of the Transportation Act and asking that the Interstate Commerce Commission and the Railroad Labor Board be enjoined from enforcing it in a way to interfere with the jurisdiction of the state authorities.

A. P. Thom Files Brief

Declaring that the only power denied the states by the Transportation Act is the power to fix intrastate rates that discriminate against interstate commerce, Alfred P. Thom, general counsel of the Association of Railway Executives, in a brief filed as *amicus curiae* asks the court to sustain the constitutionality of the statute.

The Texas authorities attack the constitutionality of the sections of the act relating to the regulation of state rates, the so-called rate-making section, the sections relating to the establishment of the Railroad Labor Board; to the extension and abandonment of lines of railroad and the sections relating to pooling of freights or earnings and consolidations.

In his brief, Mr. Thom asserts that the case is not justiciable because the order issued by the Interstate Commerce Commission under the act and attacked in the proceedings "inflicts no injury," adding that it is "not fair to jurisprudence to attempt to settle great constitutional questions, like those presented here, on abstract considerations not involving definite complaints of wrongs to persons or property."

"Aside from the objections on the grounds mentioned, the bill is without equity and is based on what, we respectfully submit, is a misconception of the constitutional justification of the Transportation Act and of the lawful rights and authority of the parties," the brief says.

A Supervisory Power Over Intrastate Rates

"The Interstate Commerce Commission was given by the act," the brief continues, "direct and primary jurisdiction to fix interstate rates, but only a supervisory power over intrastate rates to be exercised only if the states failed to establish intrastate rates which would not give preference to their own traffic over interstate traffic and would not unjustly discriminate against interstate commerce.

"The only power over state rates denied to the states by Congress was the power to establish an unjust discrimination in favor of their own traffic over interstate traffic and to require the use of the instrumentalities of interstate commerce 'in their intrastate transactions in such manner as to affect injuriously traffic which is interstate.'

"Manifestly, interstate commerce would be injuriously affected and unjustly discriminated against if it could not use the instrumentalities used by both on terms as favorable as intrastate commerce could—if interstate commerce had to pay the bill for maintaining, up to the national standard of adequacy and efficiency, the agency which was used interchangeably by both, while the state refused to make an equitable contribution. If the standard of adequacy expressly fixed by Congress in the act must be supported out of the rates derived from both classes of traffic and the states could decline to bear their equitable proportion, either the Congressional standard must be abandoned, or the deficit caused by the refusal of the state must be made up out of increased interstate rates—and thus, in either case, the states would effectually regulate interstate commerce. No interpretation of the act which would accomplish this result can be accepted.

"The interstate commerce act confers upon the Interstate Commerce Commission the power to judge as to this discrimination, and to remove it, if the action of the states results in such unjust discrimination.

Removal of Unjust Discrimination

"It is equally obvious, from another standpoint, that the act must be interpreted as authorizing the removal by the Interstate Commerce Commission of any unjust discrimination, created by a state, against interstate commerce, or any portion of it, in favor of intrastate commerce, or any portion of it.

"Unjust discrimination may exist, and does exist, whenever interstate commerce is injuriously affected by the more favorable terms on which intrastate commerce is permitted to move. The more favorable terms on which intrastate commerce may move, as compared with interstate commerce, may exclude the latter from markets which each is seeking, or from producing fields on which each is depending.

"It is accordingly submitted that, from whatever standpoint the subject be viewed, the act must be interpreted, in its provisions as to state rates, as conferring upon the Interstate Commerce Commission a power, and a power only, to see that all unjust and unreasonable advantages of state over interstate commerce, and all unjust discrimination of state against interstate commerce, are removed, and that there be no substantial inequality of commercial opportunity to the prejudice of interstate commerce in the use of the instrumentalities of interstate commerce.

"It cannot be successfully asserted that the powers conferred by the act, as to interstate rates and as to unjust discrimination against interstate commerce, are not within the constitutional grant of power made to the national government by the states to regulate interstate and foreign commerce.

The Method of Rate Making

"Nor can valid criticism be made of the method of rate-making, by groups, prescribed in the act. It is the method which was adopted and followed by the commission before the act was passed. It is the only method possible.

"It is difficult to understand why the contention should now be insistently and gravely made that if Congress undertakes to regulate or fix the intrastate rates of an interstate carrier, it is invading the reserved rights of the states and violating the tenth amendment of the Constitution.

"It cannot be denied that the power to provide for, foster and protect—all of which are involved in the power to regulate—includes the power to fix the standard of efficiency and adequacy of the means or instrumentalities for carrying on interstate commerce. That standard—the national standard—must be supported out of all the traffic, state and interstate, of the carriers. If a state disapproves of the national standard and may, by fixing state rates so low as to make an inequitable and inadequate contribution to the support of the interstate agency, it has the power to impose its standard on Congress, or to throw on interstate commerce and the commerce of other states, or on both, the burden of sustaining the national standard of efficiency and

Whereas the Interstate Commerce Commission has attempted to make rates according to said group plan, and has asserted the power, under said plan, to raise rates within one state to meet deficits in earnings incurred in other states, and

Whereas unjust and unreasonable rates have thereby been imposed upon the public, and

Whereas the people of the several states, under the Interstate Commerce Act, as amended, as interpreted and administered by the Interstate Commerce Commission, have been deprived of their accustomed powers of self-government.

Therefore, be it resolved: That we urge upon Congress immediate legislation, at the present session, which shall so amend the Interstate Commerce Act as clearly to define and limit the power of the Interstate Commerce Commission, so that no intrastate rate may be changed or set aside without proof by competent evidence, and upon findings of fact made, that the same is noncompensatory and injures a person or persons, or a locality or localities, engaged in interstate commerce to such an extent as seriously to diminish the business of such person or persons, or seriously to retard the growth and development of such locality or localities, and

Resolved further: That it is the sense of this Association that the group plan of making rates, prescribed by said Section 15-a, is uneconomic and unsound, and that the attempt, under its provisions, to produce returns upon roads that are unable to earn returns themselves, has placed an unjust burden upon the business of the nation, from which it should be relieved by the immediate repeal of said Section 15-a, and

Resolved further: That, as an aid in the construction of the Interstate Commerce Act by the commission and the courts, Congress is requested to incorporate in such amendments amendatory legislation, a declaration of the purpose of Congress to recognize the right of the several states to exercise full and final jurisdiction over all rates for intrastate transportation which do not injure persons or localities engaged in interstate commerce, in the manner aforesaid.

Resolution Relating to Amendment of Valuation Act

Whereas there are now pending in the House and Senate of the National Congress bills introduced by Congressman Sweet and Senator Cummins respectively, each to amend Section 19-a of the Interstate Commerce Act (which section is commonly referred to as the Valuation Act) so that the Interstate Commerce Commission shall not be required to include in its valuations of railroad properties any estimates of hypothetical damages for present cost of condemnation and damage in excess of present value, or original cost, of railroad lands, . . .

Therefore, be it resolved: That this Association urges the prompt passage of the proposed amendment as an act of plain justice to the public.

Resolution Relating to Car Service

Whereas it is impracticable for the Interstate Commerce Commission to attempt to supervise the distribution of cars as between individual shippers throughout the United States, and

Whereas there should be some governmental authority within reasonable reach to which appeal can be made to require equitable distribution of cars without regard to whether the same are to be used for shipments interstate or intrastate,

Therefore, be it resolved: That Congress be respectfully urged to amend the Interstate Commerce Act in such way that the regulatory authorities of the states may make reasonable orders and regulations, not in conflict with federal law, or with lawful orders of the Interstate Commerce Commission, requiring cars within the respective borders of such states to be equitably distributed to shippers desiring same, without regard to whether they are desired for use in shipments that are interstate, or intrastate.

Resolution Relating to Certificates of Convenience and Necessity

Whereas by the Transportation Act of 1920, the Interstate Commerce Commission was, in terms, given exclusive authority to grant certificates of convenience and necessity for construction and abandonment, not only of railroad lines which are interstate in character, but of railroad lines lying, or to be constructed, wholly within one state, and

Whereas the Federal Government ought not to undertake to authorize state railroads engaged in intrastate transportation, which have often been constructed, in part, by public aid from the State or sub-divisions thereof, to abandon intrastate operation without authority from the State.

Therefore, be it resolved: That Congress be respectfully urged to amend the existing law so that certificates of convenience and necessity granted by the Interstate Commerce Commission shall not purport to relieve the carriers obtaining the same from conforming to the laws of the states with respect to construction and operation within the states for intrastate transportation, or with respect to the abandonment of such transportation.

Committee Reports

Some of the committee reports presented at the meeting were given in abstract form in last week's *Railway Age.* Other reports of interest to *Railway Age* readers were those of the committees on railway rates, on valuation and on car service.

Report of Committee on Railway Rates

The report of the committee on railway rates reviewed briefly the hearings in the Western Grain Rates case, decision of the I. C. C. in which is expected shortly, and the decision in the Live Stock case. Continuing, it referred to the lack of power of the state commissioners over intrastate rates as follows:

The main subject of interest in rate making the last year has been the boundaries of the jurisdiction over intrastate rates as between the Interstate Commerce Commission proceeding under the Transportation Act and the various state commissions. The Interstate Commerce Commission has assumed jurisdiction over so many intrastate rate tariffs that not much authority has been left to the state commissions. As long as this condition continues there is not much room for functioning through the state commissions. That the result is highly unsatisfactory to the state commissions and the shippers, and presumably to the I. C. C. is recognized. Only the carriers seem to be pleased because their campaign of many years to cripple the state commissions and concentrate the authority over all rates, state and interstate, in the hands of the Interstate Commerce Commission where the machinery would be so clogged that readjustment would be practically impossible, appears to have met with some success.

Most of the state commissions are marking time. They are so fettered with orders of the Interstate Commerce Commission and injunctions of the federal courts that until the law is defined by the Supreme Court or Congress acts, their ability to serve the states in the matter of intrastate rates is very limited.

Need for Uniformity in Intrastate Rates

The committee also discussed the need for uniformity of intrastate rates in states similarly situated:

One of the principal things that the states, particularly the western and southern states, ought to consider is the need for greater adjustment in the intrastate rate schedules of those states whose business is performed under substantially similar conditions. One of the most telling criticisms made against state regulation, and the hardest criticism to answer, is the disparity in many instances in the rate levels in states where transportation conditions are somewhat similar. It could be pointed out that similar disparity exists in interstate rates but as it is state regulation that is under fire your chairman calls your attention to this subject with his earnest suggestion that it be given most careful thought by the members of this association.

It is realized that in many states statutory rates affect the power of the commissions to adjust inconsistencies but nevertheless it is our judgment that the state commissions will take the longest step toward strengthening themselves if they will work together in an attempt to harmonize conflicting state levels where the transportation conditions are substantially similar. I think that this association could render no greater service than to use its best efforts in this direction and that this convention should give this phase of the subject its most careful consideration.

Motor Truck Transportation.

One of the recent developments that must be given earnest consideration by the state commissions is the competition with railroads on l. c. l. short hauls by motor trucks. As the highways of the country improve and the motor truck becomes more and more a permanent part of our economic machinery the tendency is to move merchandise, household goods and other forms of traffic by truck instead of by rail. There will be much work for the state commissions to do in the future along this line. If the movement by traffic by truck is an economic advantage it has doubtless come to stay and will be extended in the future. If, on the other hand, this movement has been induced by freight rates higher than they should be, and particularly under those scales of rates where the short haul rates are abnormally high, then there is an opportunity for the state commissions to function through a readjustment of such rates. There has been a tendency in recent years to apply very high rates to short haul traffic. The application of such scales together with the percentage increases in rates has resulted in bringing about the situation discussed.

The report is signed by C. M. Reed, Kansas Public Utilities Commission, Chairman.